

Practice Returns

Four client packs, handed to you the way paperwork actually arrives: incomplete, out of order, and with at least one thing that does not add up.

Module 8 • Week 10 • Student copy

READ THIS BEFORE YOU OPEN LAB 1

Every name, address, employer, Social Security number and document in this pack is invented for training. Social Security numbers begin **900**, a range the Social Security Administration has never issued. Nothing here is a filed document and nothing here is a real person.

How to work a pack

The instinct is to start typing. Resist it. On every one of these four, in this order:

1. **Run the seven intake questions** and write the answers down. The intake notes in the pack are what the front desk heard. They are not the same as what is true.
2. **List which returns this client needs** — federal, Michigan, Detroit. Decide the Detroit form before you start.
3. **List what is missing** from the pack, and what you would ask for.
4. **Write down the one thing that does not add up.** Every pack has one. Some have two.
5. Only then open the software.

You are marked on four things, in this order: did you ask, did you write it down, is the answer right, and would you say it to the client's face. A correct return with no notes scores half.

Hand in, for each lab

#	WHAT	WHY
1	Your intake notes	The evidence that you asked
2	Filing status, and which test decided it	Where a third of the marks are
3	The completed federal, Michigan and Detroit returns	The work
4	Your file notes	What defends this return in two years
5	Your list of what was missing and what you asked for	The habit that keeps you out of trouble

PRACTICE RETURN 1

Tamika Brooks

One W-2, one rideshare platform, two children, a rented flat in Detroit. The bread-and-butter return you will prepare more than any other — and the one where the most money is left on the table.

FRONT-DESK INTAKE NOTES

TAMIKA R. BROOKS • 6 FEBRUARY 2027

Walk-in. Came in last year too but filed somewhere else — said it “cost too much.”

Two kids at home, Jaden and Amari. Says they’ve been with her the whole time.

Works at the hospital laundry. Also drives for one of the rideshare apps “on and off, mostly weekends.”

Renting on Vanderbilt. Asked if renting matters — I said the preparer would ask her.

Mentioned her sister watches the kids some afternoons and she “gives her something” for it.

Wants to know how fast the refund comes. Told her the preparer would explain.

Written by the person at the desk, not by you. Treat it as what the client said, not as fact.

FORM W-2 · WAGE AND TAX STATEMENT		2026 · TRAINING FACSIMILE	
A · EMPLOYEE'S SOCIAL SECURITY NUMBER 900-41-8832		B · EMPLOYER IDENTIFICATION NUMBER (EIN) 38-4471902	
C · EMPLOYER'S NAME, ADDRESS AND ZIP CODE Riverbend Linen & Laundry Services LLC 1140 Piquette Ave, Detroit, MI 48202			
E · EMPLOYEE'S NAME Tamika R. Brooks		F · EMPLOYEE'S ADDRESS AND ZIP CODE 8214 Vanderbilt St, Detroit, MI 48209	
1 · WAGES, TIPS, OTHER COMPENSATION 24,860.00		2 · FEDERAL INCOME TAX WITHHELD 1,142.00	
3 · SOCIAL SECURITY WAGES 25,960.00		4 · SOCIAL SECURITY TAX WITHHELD 1,609.52	
5 · MEDICARE WAGES AND TIPS 25,960.00		6 · MEDICARE TAX WITHHELD 376.42	
12A D 1,100.00		13 · STATUTORY EMPLOYEE / RETIREMENT PLAN Retirement plan ☒	
15 · STATE / EMPLOYER'S STATE ID MI 38-4471902		16 · STATE WAGES, TIPS, ETC. 24,860.00	
17 · STATE INCOME TAX 1,020.00		18 · LOCAL WAGES, TIPS, ETC. 24,860.00	
19 · LOCAL INCOME TAX 585.00		20 · LOCALITY NAME DETROIT	
Facsimile for training. Invented employer, invented figures, not a filed document.			

FORM 1099-K · PAYMENT CARD AND THIRD PARTY NETWORK TRANSACTIONS		2026 · TRAINING FACSIMILE	
FILER Cityline Rideshare Inc. · 400 Market St, Wilmington DE 19801		FILER'S TIN 20-8809830	
PAYEE Tamika R. Brooks		PAYEE'S TIN 900-41-8832	
1A · GROSS AMOUNT OF PAYMENT TRANSACTIONS 6,412.00		1B · CARD NOT PRESENT TRANSACTIONS 6,412.00	
3 · NUMBER OF PAYMENT TRANSACTIONS 487		4 · FEDERAL INCOME TAX WITHHELD 0.00	
Gross. What the passengers paid, before the platform took anything.			

Gross earnings 6,412.00

Cityline platform fees and service charges 214.00

Tolls passed through 318.00

Online miles, all of 2026 4,980

Note from the app: mileage tracking was switched off between 2 October and 14 November.

The summary and the 1099-K do not report the same thing. Work out why before you enter either.

RENT STATEMENT

MACK & VANDERBILT PROPERTIES

Tenant: **Tamika R. Brooks**

Unit: 8214 Vanderbilt St, Lower, Detroit MI 48209

Rent paid 1 January – 31 December 2026: **\$10,200.00** (\$850.00 per month, twelve payments, none missed)

Heat and water included in rent. Tenant pays electricity separately.

HANDWRITTEN NOTE, CLIPPED TO THE PACK

—

"Jaden — born 14/3/2016. Amari — born 2/8/2020. Both at Fairlane Elementary. I pay my sister Renita \$40 a week most weeks, she watches them after school. She don't give me nothing in writing."

LAB 1 – WHAT TO HAND IN

Everything on the hand-in list, plus specifically:

- Her filing status, and which of the three tests you checked to get there
- The Schedule C, showing how you arrived at the mileage figure
- Which Detroit form, and why
- Your answer on the childcare payments to her sister — and the note that supports it
- The one thing you would tell her that she did not ask about

PRACTICE RETURN 2

Crystal Hargrove

A client who is certain, likeable, and wrong — and where being right costs her several thousand dollars. This is the lab that tests whether you can say it.

FRONT-DESK INTAKE NOTES CRYSTAL M. HARGROVE · 11 FEBRUARY 2027

Referred by her cousin. Very pleasant, in a hurry, has to collect her son at 4.

Says she's "head of household, same as last year." Filed at a shop on Gratiot in 2025.

Husband Andre "moved out in the fall." Didn't say when exactly, I didn't push.

One son, Zaire, 8. With her all year.

Owns the house on Camden. Brought a property tax bill.

Said twice that she needs the refund by the first week of March for a car repair.

Written by the person at the desk, not by you. Treat it as what the client said, not as fact.

FORM W-2 · WAGE AND TAX STATEMENT		2026 · TRAINING FACSIMILE	
A · EMPLOYEE'S SOCIAL SECURITY NUMBER 900-27-4106		B · EMPLOYER IDENTIFICATION NUMBER (EIN) 38-6000549	
C · EMPLOYER'S NAME, ADDRESS AND ZIP CODE Riverfront Community Schools 3011 W Grand Blvd, Detroit, MI 48202			
E · EMPLOYEE'S NAME Crystal M. Hargrove		F · EMPLOYEE'S ADDRESS AND ZIP CODE 14209 Camden Ave, Detroit, MI 48213	
1 · WAGES, TIPS, OTHER COMPENSATION 31,450.00		2 · FEDERAL INCOME TAX WITHHELD 1,880.00	
3 · SOCIAL SECURITY WAGES 33,050.00		4 · SOCIAL SECURITY TAX WITHHELD 2,049.10	
5 · MEDICARE WAGES AND TIPS 33,050.00		6 · MEDICARE TAX WITHHELD 479.23	
12A E 1,600.00		13 · STATUTORY EMPLOYEE / RETIREMENT PLAN Retirement plan ☒	
15 · STATE / EMPLOYER'S STATE ID MI 38-6000549		16 · STATE WAGES, TIPS, ETC. 31,450.00	
17 · STATE INCOME TAX 1,290.00		18 · LOCAL WAGES, TIPS, ETC. 31,450.00	
19 · LOCAL INCOME TAX 740.00		20 · LOCALITY NAME DETROIT	
Facsimile for training. Invented employer, invented figures, not a filed document.			

PROPERTY TAX STATEMENT · CITY OF DETROIT		2026 · TRAINING FACSIMILE	
PARCEL 21-010384.		PROPERTY ADDRESS 14209 Camden Ave, Detroit MI 48213	
OWNER OF RECORD HARGROVE, ANDRE L & CRYSTAL M		TAXABLE VALUE 21,400	
TOTAL 2026 PROPERTY TAX BILLED 1,910.42		PAID IN FULL Yes · 14 December 2026	
Read the owner of record line twice.			

Andre – 9 Oct, 7:42pm

“ill be out by the weekend. ill come get the rest of my stuff sunday”

Crystal – 9 Oct, 8:15pm

“fine. leave the key”

The client offered this to prove he had gone. She has not been asked for it.

Filing status shown: **Head of Household**

Dependants: Zaire M. Hargrove

Earned Income Credit claimed: **3,214.00**

Preparer PTIN on the return: *blank*

Two things on this page should concern you. One is the filing status.

LAB 2 – WHAT TO HAND IN

- Her correct filing status, and the exact test that decided it
- The date you would have asked for, and where you would record it
- What happens to her Earned Income Credit, in dollars, and how you would tell her
- What you would do about the 2025 return
- What you still need from her before the return can be filed at all, and what you would do if she will not give it to you

PRACTICE RETURN 3

Walter Pridgen

Four income documents, two of which should not appear on the return at all, and a set of deductions nobody has filed before. Module 5, in full.

FRONT-DESK INTAKE NOTES

WALTER J. PRIDGEN · 3 FEBRUARY 2027

Long-standing client of the firm. Retired Army, 68. Widower.

Brought "everything in the folder" — and he means everything.

Works a few shifts at a restaurant on Gratiot. Said the tips are "nothing much."

Asked whether his disability money "counts against him." Told him the preparer would go through it.

Still in the house on Chalmers, been there thirty-one years.

Last year he owed and it upset him. He wants to know why before we start.

Written by the person at the desk, not by you. Treat it as what the client said, not as fact.

VETERANS BENEFITS OFFICE ·
BENEFIT SUMMARY LETTER

TRAINING FACSIMILE · ISSUED
14 JANUARY 2027

This letter is to verify the benefits Mr Walter J. Pridgen received in veterans' benefits during 2026.

Service-connected disability compensation, 60% — \$19,236.00
(twelve monthly payments of \$1,603.00)

This benefit is not subject to federal income tax and is not reported on Form 1099.

Read the last line. Then read it again before you type anything into the software.

FORM 1099-R · DISTRIBUTIONS FROM PENSIONS, ANNUITIES, RETIREMENT		2026 · TRAINING FACSIMILE	
PAYER Armed Forces Retired Pay Center (training facsimile)		PAYER'S TIN 34-1234567	
RECIPIENT Walter J. Pridgen · 900-63-7715		1 · GROSS DISTRIBUTION 22,480.00	
2A · TAXABLE AMOUNT 22,480.00		4 · FEDERAL INCOME TAX WITHHELD 1,760.00	
7 · DISTRIBUTION CODE 7 – Normal distribution		14 · STATE TAX WITHHELD 0.00	

FORM SSA-1099 · SOCIAL SECURITY BENEFIT STATEMENT		2026 · TRAINING FACSIMILE	
BENEFICIARY Walter J. Pridgen		SOCIAL SECURITY NUMBER 900-63-7715	
3 · BENEFITS PAID IN 2026 14,208.00		4 · BENEFITS REPAID TO SSA 0.00	
5 · NET BENEFITS FOR 2026 14,208.00		6 · VOLUNTARY FEDERAL INCOME TAX WITHHELD 0.00	
How much of this is taxable is not written anywhere on the form.			

FORM W-2 · WAGE AND TAX STATEMENT		2026 · TRAINING FACSIMILE	
A · EMPLOYEE'S SOCIAL SECURITY NUMBER 900-63-7715		B · EMPLOYER IDENTIFICATION NUMBER (EIN) 38-3915522	
C · EMPLOYER'S NAME, ADDRESS AND ZIP CODE Eastside Grill & Coney Inc. 14840 Gratiot Ave, Detroit, MI 48205			
E · EMPLOYEE'S NAME Walter J. Pridgen		F · EMPLOYEE'S ADDRESS AND ZIP CODE 15122 Chalmers St, Detroit, MI 48205	
1 · WAGES, TIPS, OTHER COMPENSATION 8,940.00		2 · FEDERAL INCOME TAX WITHHELD 210.00	
3 · SOCIAL SECURITY WAGES 8,940.00		4 · SOCIAL SECURITY TAX WITHHELD 554.28	
5 · MEDICARE WAGES AND TIPS 8,940.00		6 · MEDICARE TAX WITHHELD 129.63	
7 · SOCIAL SECURITY TIPS 3,120.00		8 · ALLOCATED TIPS —	
15 · STATE / EMPLOYER'S STATE ID MI 38-3915522		16 · STATE WAGES, TIPS, ETC. 8,940.00	
17 · STATE INCOME TAX 366.00		18 · LOCAL WAGES, TIPS, ETC. 8,940.00	
19 · LOCAL INCOME TAX 210.00		20 · LOCALITY NAME DETROIT	
Facsimile for training. Invented employer, invented figures, not a filed document.			

NOTE IN THE CLIENT'S OWN HANDWRITING	—
<i>"Bought the Equinox new in March, from the dealer on Telegraph. Financed it. Somebody at the VFW said there's something on the taxes now for the car note. I don't know if that's right."</i>	
He is right, and he would never have mentioned it if the VFW had not. The pack does not contain what you need to claim it. That is part of the exercise.	

LAB 3 – WHAT TO HAND IN

- Which of the four income documents appears on the return, and which does not
- Your Social Security taxability calculation, with the worksheet
- Every Schedule 1 -A deduction he qualifies for, and the one you cannot claim yet — and what you would ask him for
- His standard deduction, and why it is not the number on the figures sheet
- The answer to the question he actually came in with: why did he owe last year?

Loretta Simms

Everything at once, plus judgement. A part-year city return, a relationship test most preparers get wrong, and records that are genuinely incomplete rather than conveniently missing.

FRONT-DESK INTAKE NOTES

LORETTA A. SIMMS • 19 FEBRUARY 2027

Referred by her church. Sixty-one. Raising two grandchildren, Malik and Nia.

Their mother — her daughter — has been away since 2024. Loretta didn't elaborate and I didn't ask.

Moved out of Detroit in the summer, to Eastpointe. Kids changed schools.

Works part-time for the school district. Also cleans houses — "cash, mostly."

Brought a spiral notebook with the cleaning money written in it.

Said: "I don't want anything I'm not supposed to have."

Written by the person at the desk, not by you. Treat it as what the client said, not as fact.

FORM W-2 · WAGE AND TAX STATEMENT		2026 · TRAINING FACSIMILE	
A · EMPLOYEE'S SOCIAL SECURITY NUMBER 900-55-2073		B · EMPLOYER IDENTIFICATION NUMBER (EIN) 38-6004421	
C · EMPLOYER'S NAME, ADDRESS AND ZIP CODE Lakeside Community Schools 21900 E Nine Mile Rd, Eastpointe, MI 48021			
E · EMPLOYEE'S NAME Loretta A. Simms		F · EMPLOYEE'S ADDRESS AND ZIP CODE 22615 Beaconsfield Ave, Eastpointe, MI 48021	
1 · WAGES, TIPS, OTHER COMPENSATION 12,180.00		2 · FEDERAL INCOME TAX WITHHELD 240.00	
3 · SOCIAL SECURITY WAGES 12,180.00		4 · SOCIAL SECURITY TAX WITHHELD 755.16	
5 · MEDICARE WAGES AND TIPS 12,180.00		6 · MEDICARE TAX WITHHELD 176.61	
15 · STATE / EMPLOYER'S STATE ID MI 38-6004421		16 · STATE WAGES, TIPS, ETC. 12,180.00	
17 · STATE INCOME TAX 500.00		18 · LOCAL WAGES, TIPS, ETC. 6,940.00	
19 · LOCAL INCOME TAX 165.00		20 · LOCALITY NAME DETROIT	
Facsimile for training. Invented employer, invented figures, not a filed document.			

PAGES FROM THE CLIENT'S NOTEBOOK				TRANSCRIBED BY THE FRONT DESK			
Jan	340	Apr	465	Jul	380	Oct	410
Feb	385	May	420	Aug	395	Nov	445
Mar	410	Jun	440	Sep	360	Dec	(page torn)
Written in a separate column: "6 houses. Mrs Pryor every 2 wks, the rest monthly. Supplies from the dollar store mostly."							
One month is missing. Decide what you do about that before you decide anything else.							

RECEIPTS, IN AN ENVELOPE

Discount store, various dates — cleaning supplies, eleven receipts totalling **\$312.40**

No mileage log. No vehicle records. Client says she drives to all six houses in her own car and has done for years.

RENT RECORDS

TWO ADDRESSES IN ONE YEAR

5411 CADIEUX RD, DETROIT MI 48224

1 January – 17 July · \$700.00 per month

PAID, DETROIT ADDRESS

\$4,900.00 (seven payments)

22615 BEACONSFIELD AVE, EASTPOINTE MI 48021

18 July – 31 December · \$825.00 per month

PAID, EASTPOINTE ADDRESS

\$4,125.00 (five payments)

SCHOOL ENROLMENT LETTERS

LAKESIDE COMMUNITY SCHOOLS · 2 SEPTEMBER 2026

This is to confirm that **Malik J. Simms** (grade 6) and **Nia R. Simms** (grade 2) are enrolled for the 2026–27 school year and that the address of record for both pupils is 22615 Beaconsfield Ave, Eastpointe MI 48021.

Prior school of record for both pupils: a Detroit public elementary school.

This letter is worth more to you than it looks. Work out why, and keep a copy.

LAB 4 – WHAT TO HAND IN

- Her filing status, and how the grandchildren satisfy the relationship test
- Which Detroit form, and how you split the year
- Your Schedule C, including exactly how you handled the missing month and the mileage
- The Homestead credit, across two addresses
- The file note that would defend this return if it were examined in 2029

AND THE QUESTION UNDERNEATH ALL FOUR

Every one of these clients is owed money they do not know about. Tamika, the Homestead credit. Crystal, a smaller refund honestly arrived at. Walter, two Schedule 1 -A deductions. Loretta, almost all of it.

None of them will raise any of it. That is the job.

Smart Tax IQ Tax Academy · Carter Cole & Associates LLC · 14701 Mack Ave Suite B, Detroit
MI 48215 · 313-771-4400

Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.